RESERVE BANK OF INDIA — CUSTOMER PROTECTION CIRCULAR

Circular_ID: RBI/2017-18/15-DBR.No.Leg.BC.78

Title: Customer Protection — Limiting Liability of Customers in Unauthorised Electron
ic Banking Transactions

Section: Paragraph 6 — Zero Liability of a Customer (Within 72 Hours)

Body: A customer shall have Zero Liability (INR 0) in an unauthorized electronic bank
ing transaction across UPI, IMPS, NEFT, RTGS, and Credit Cards if the deficiency lies
in the banking system, or in third-party breaches where neither the bank nor custome
r is at fault and the customer notifies the bank within 3 working days (72 hours) of
receiving transaction communication. The bank must credit (shadow reversal) the amoun
t involved in the unauthorized transaction within 10 working days of notification.

Keywords: unauthorized, fraud, zero liability, 3 working days, 72 hours, 10 working d
ays, shadow reversal, third-party breach, phishing, hacked, credit card, upi, imps, n
eft, rtgs

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Title: Customer Protection — Limiting Liability of Customers in Unauthorised Electron ic Banking Transactions

Section: Paragraph 7 & Table 1 — Limited Liability of a Customer (4 to 7 Working Days Delay)

Body: Where an unauthorized electronic banking transaction occurs due to a third-part y breach and the customer notifies the bank within 4 to 7 working days (73 to 168 hou rs), per-transaction customer liability is capped at a maximum of INR 10,000 for basi c savings and regular accounts, and capped at INR 25,000 for high-tier accounts and c redit cards. If the transaction amount is lower than the statutory cap, customer liab ility is equal to the transaction amount. Shadow credit must still be completed withi n 10 working days.

Keywords: unauthorized, fraud, limited liability, 4 to 7, 10000, 25000, delay, late r eport, credit card, savings, 10 working days

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Title: Customer Protection — Limiting Liability of Customers in Unauthorised Electron
ic Banking Transactions

Section: Paragraph 7(ii) — Customer Negligence (Sharing OTP/PIN) & Beyond 7 Days Dela
y

Body: In cases where the loss is due to negligence by a customer, such as where they
have shared payment credentials (UPI PIN, OTP, or CVV), the customer will bear the en
tire loss until they report the unauthorized transaction to the bank. Any loss occurr
ing after the reporting of the unauthorized transaction shall be borne by the bank. I
f reported beyond 7 working days (>168 hours), liability is determined per the bank B
oard-approved policy and requires human compliance escalation.

Keywords: negligence, shared otp, shared pin, entered upi pin, shared cvv, beyond 7 d
ays, board policy, escalation, statement